波司登
BOSIDENG

Bosideng
HKSE:3998
Current Price: $3.90
1y Target Price: $5.49
(+40.65%)

Timo Capital | Point72 x Nanyang Capital Stock Pitch Challenge 2025

Research Report done by:
Timothy Wong How Zer
Jonathan Jose Neo Jun Li
Liew Jun Wei
Akira Yeo

Bosideng (HKSE:3998)
Industry: Apparels
Sector: Consumer Staples
Prepared by: Timo Capital

波司登 BOSIDENG

Down to Excellence: Bosideng Pioneers the Future of Premium Outerwear

BUY Recommendation

We initiate coverage on Bosideng (HKSE:3998) with a **BUY** recommendation and a target price of **$5.49**, representing a **40.65%** upside based of its current price of $3.90. Our target price was derived using a discounted cash flow valuation method and performing a relative valuation as a sanity check.

Business Description

Bosideng International Holdings Ltd is a leading Chinese apparel company best known for its high-quality down jackets and winter wear. Founded in China, the brand has earned strong domestic recognition for its innovative design and reliable performance, becoming a household name in the competitive outdoor and fashion markets. In recent years, Bosideng has embarked on an international expansion strategy to transform its image from a mass-market producer to a premium global brand, aiming to capture broader consumer demand across diverse markets.

The group operates through four business segments: Branded down apparels (BDA), which accounts for 84% of total FY24 revenues; OEM management (OEM), which accounts for 11.5%; Ladieswear apparels (LW) makes up 3.5% and Diversified apparels (DA) forms the rest 1%. Geographically, China contributed 94% to the total revenues, followed by North America and Europe at 3% each.

Industry Analysis

Market Size & Potential

The global down jacket market has experienced significant growth, with the China down jacket market standing out as one of the fastest-growing segments. In 2023, China's down jacket market reached a valuation of approximately 196 billion yuan (USD 27.8 billion), driven by increasing urbanization, rising disposable incomes, and a growing demand for premium winterwear. The market is projected to grow at a Compound Annual Growth Rate (CAGR) of 15.81%, highlighting its immense growth potential. Bosideng, as the market leader, is uniquely positioned to capitalize on this growth by leveraging its established dominance and innovative product offerings.

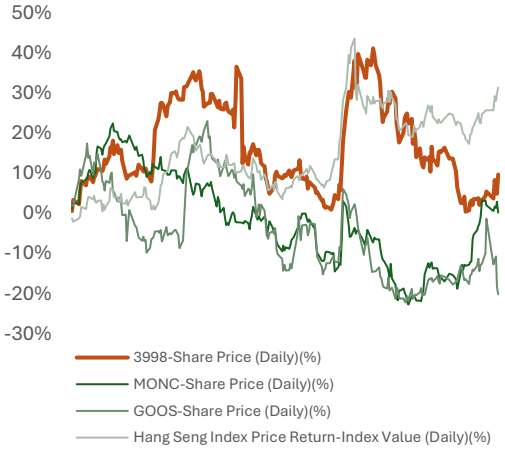
Porter's Five Analysis

Bosideng operates in a competitive yet high-barrier industry, where its brand equity, retail dominance, and product innovation secure its leadership in China's down jacket market. The threat of new entrants is low due to high capital and regulatory requirements, while supplier power remains moderate, with Bosideng leveraging its scale to mitigate risks. Although buyers have alternatives, Bosideng's 70% retention rate and premium positioning reduce price sensitivity. Substitutes like synthetic insulation and fast fashion pose some risk, but Bosideng's focus on innovation and sustainability keeps it competitive. Industry rivalry is the biggest challenge, with domestic brands (Peacebird) competing in mid-tier segments and global brands (Moncler, Canada Goose) leading in luxury. However, Bosideng's market leadership, strong omnichannel presence, and premiumization strategy ensure its continued dominance. (Fig. 1.2)

Key Information	
Ticker	3998
Exchange	HKSE
Sector	Consumer Staples
Current Price	3.90
Target Price	5.49
52-Week Trading	3.460 - 5.140
Market Capitalisation (HK$ mn)	45,097
Shares Outstanding (mn)	11,480

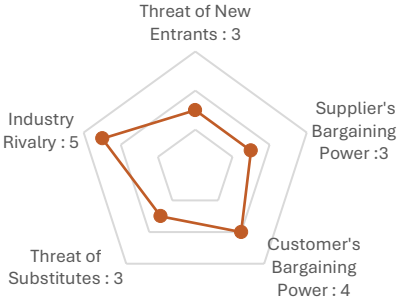
Key Management	
CEO	Dekang Gao
Executive President	Dong Mei
VP & CFO	Gaofeng Zhu

Fig 1.1: 1Y Price Vs HSI,MONC,GOOS



Source: Team Analysis

Fig 1.2: Porter's 5 Forces



Source: Team Analysis

Seasonality

The down jacket industry is highly seasonal, with the majority of sales concentrated during winter months. However, Bosideng have mitigated this challenge by diversifying their product range to include lightweight jackets for transitional seasons and leveraging e-commerce platforms to drive sales year-round. Additionally, China's large population and diverse climate ensure sustained demand for winterwear, particularly in northern regions where winters are harsher.

Investment Thesis

Thesis 1: Market Dominance in China

Strong earnings

Bosideng has maintained a dominant presence in China's down apparel sector. In the fiscal year 2023/24, the company reported a revenue of USD3.2million, marking a 24.4% increase from the previous year. Conversely, its top competitor in the down jacket sector reported a 15.96% decrease in revenue from the previous year.

Rise of Brand Recognition & Customer Loyalty

Bosideng operates a comprehensive retail network across China with more than 3,000 retail stores- flagship stores, outlets, and partnerships with major e-commerce platforms. In the fiscal year 2023/24, Bosideng's online sales grew by 28% y-o-y, accounting for over 25% of total revenue (Fig. 2.2). Major platforms like Tmall and JD.com are key to Bosideng's revenue during the off-peak seasons.

Extensive Retail & Distribution Network

One of the biggest long-term risks for Bosideng is climate change and rising global temperatures, which could reduce demand for heavy winter apparel. Warmer winters in key markets like Northern China, Europe, and North America could lead to lower seasonal sales volumes. Additionally, unpredictable weather patterns may affect inventory planning and supply chain logistics. Bosideng has already expanded into lightweight down jackets and year-round outerwear, but the core revenue stream remains highly season-dependent. We estimate that warmer winters could lead to a 4-6% decline in seasonal revenue, requiring further diversification strategies.

Dominating Its Niche

Unequivocally Bosideng's dominance stems from its deep understanding of its niche in down jacket. This allows the firm to stay laser-focused in innovating their products which sets benchmarks in the industry. In fiscal year 2023/24, 94.88% of revenue came from the sale of down apparels. This is followed by the ladieswear apparels and diversified apparels with 3.98% and 1.14% respectively. (Fig. 2.3) Bosideng's market dominance in China is the result of a well-rounded strategy encompassing strong financial performance, exceptional brand recognition, an extensive retail network, and a focused approach to its niche. Its ability to innovate, capture consumer loyalty, and expand its reach both online and offline ensures its continued leadership in the Chinese down apparel sector. As Bosideng continues to grow and refine its strategy, its position as a market leader in China remains firmly intact.

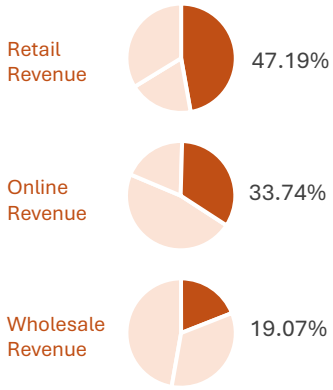
Thesis 2: Leveraging Bosideng's household name to international audiences

Penetrating the High-End International Segment

Bosideng is re-engineering its global presence, shifting from a sales-first mindset to bold brand-building strategy that fuses advanced production prowess with compelling storytelling. After the 2012 London flagship failure, the brand is now turning the tide by reopening key stores in strategic markets, launching high-end retail outlets in Italy, and forging creative alliances with global design icons such as Jean Paul Gaultier lending digital reinvention with emotionally resonant campaigns rooted in Chinese heritage, is set to transform Bosideng into a coveted international luxury brand. The allure of expanding to Europe with European market showing strongest growth (Fig. 2.4)

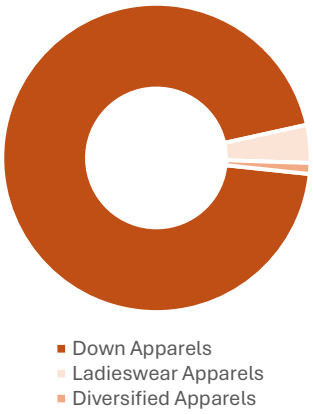
Fig 2.1: Analyst Consensus & Recommendation

Fig 2.2: Breakdown of Revenue by Sales Channels



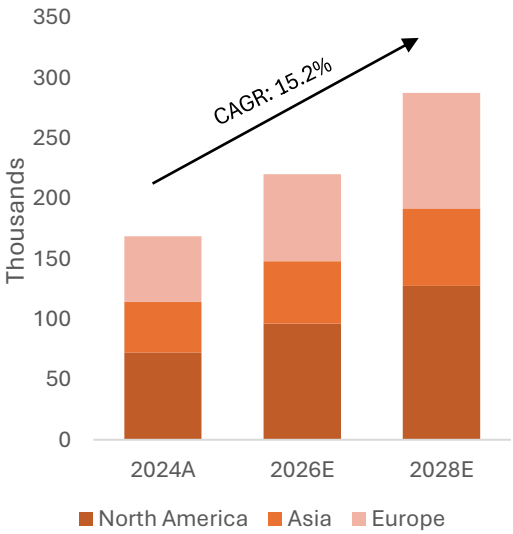
Source: Company Reports

Fig 2.3: Product Segment



Source: Capital IQ Pro

Fig 2.4: Regional Down Jacket Market Size, Europe and Asia



Source: Statista (2024)

Investment Thesis

Combatting Made in China Stigmatisation through Key Acquisitions

Bosideng is accelerating its luxury pivot by integrating Moose Knuckles—a high-end outdoor brand known for its rugged performance—into its portfolio. The strategy leverages Moose Knuckles' premium design and outdoor heritage to rebrand Bosideng from a traditional down apparel maker into a global luxury icon. The 'Made in China' narrative is dispelling, reflected in market trends, as seen in Europe's increasing apparel imports from China while other sourcing markets remain stagnant or decline (Fig 3.1). Management's target will be doubling its sales and maintaining a healthy net margin in the next three years, which is considered in our modeling. The acquisition aims to serve a dual purpose: 1) Diversifying and experimenting with the lucrative outdoor gear segment, and 2) De-stigmatizing preconceived China apparel perceptions and rebranding itself as a quality powerhouse.

Thesis 3: Inflection point for China's Backdrop

Easing Policies

We believe that recent policy announcements, coupled with the persistent challenges in consumer spending and subdued loan growth amid rising unemployment (Fig3.2), point to one single optimal solution for China: a drastic demand-side stimulus. We reaffirm that monetary easing will persist, as evidenced by the government's steadfast commitment to its 500-billion stimulus expansion, Reserve Ratio Requirement (RRR) cuts, and further reductions in interest rates (Fig3.3). Aggressive fiscal measures have already sparked a rally in Chinese stocks early 2025, signaling renewed investor confidence in the government's approach. Moreover, these policies are poised to improve household incomes and reenergize consumer demand, laying the groundwork for a shift toward a more balanced, consumption-driven growth model. Looking ahead, we expect fiscal initiatives reminiscent of the 2008 Global Financial Crisis stimulus—where expansive government support played a pivotal role in stabilizing the economy—to continue driving recovery and long-term resilience.

Direct Transfers to Consumers

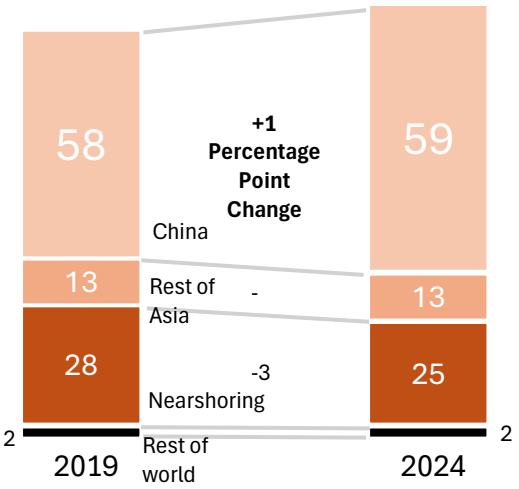
Direct transfers can serve as a short-term catalyst for household consumption, which in turn creates a more receptive environment for select luxury brands like Bosideng. As these transfers boost disposable income and spur consumer spending, even the premium segment benefits from increased demand—providing Bosideng an opportunity to strengthen its luxury positioning both domestically and abroad. However, while the immediate stimulus may drive higher sales, long-term success for Bosideng will depend on structural reforms that sustainably raise household incomes, ensuring that the elevated consumer sentiment endures beyond the temporary boost.

What it means for Bosideng

Amid easing monetary policies and aggressive fiscal stimulus, macroeconomic indicators in China signal a pivotal shift in consumer confidence and liquidity. Credit conditions have improved, and households enjoy higher disposable incomes—bolstered by sustained RRR cuts and a robust 500-billion stimulus expansion—with the GDP deflator now reverting to levels reminiscent of the Global Financial Crisis. This dynamic is accelerating the transition from an investment-led model to one driven by consumption, thereby fueling discretionary spending on premium, aspirational products.

Furthermore, domestic investor sentiment is surging as fiscal policies similar to those deployed during the GFC continue to support a broad market rally (Fig3.4) For Bosideng, this evolving macro backdrop represents a substantial opportunity: as Chinese consumers increasingly favor high-quality, ethically produced products, Bosideng's steadfast commitment to sustainable practices and superior craftsmanship positions it to capture rising demand both at home and as it expands internationally.

Fig 3.1: Apparel Imports to EU, by Origin, % of Total Value



Source: Pew Research

Fig 3.2: Consumer Confidence Index at All-Time Lows

Source: Statista (2024)

Fig 3.3: China projected to give largest rate cut in a decade (2025)

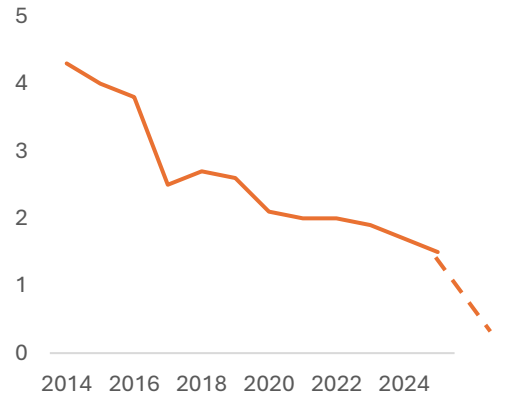
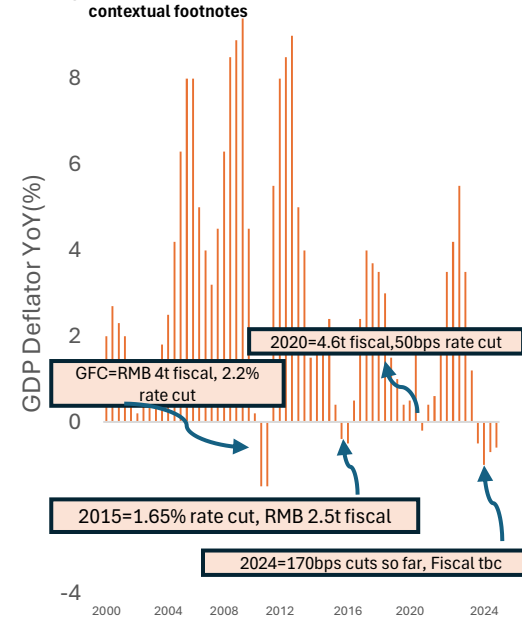


Fig 3.4: GDP Deflator YoY – China Quarterly – With contextual footnotes



Financial Analysis

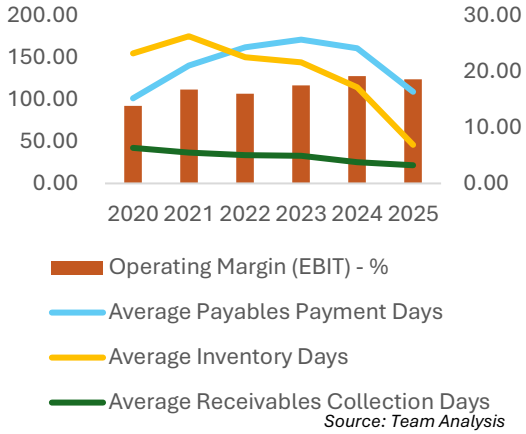
Enhancing Operational Excellence for Sustainable growth

Since 2022, Bosideng has significantly optimized operations, reducing inventory days from 150.72 (2022) to 114.84 (2024), with a sharp drop projected to 43.48 (2025), improving stock turnover. Receivables collection days fell from 33.91 (2022) to 25.20 (2024), strengthening cash flow, while payables days remained high at 161.42 (2024), enhancing liquidity. Operating margin improved from 16.09% (2022) to 19.25% (2024), driven by cost efficiency and premiumization. Looking ahead, continued supply chain optimization, digital transformation, and international expansion are expected to sustain profitability and operational agility, positioning Bosideng for long-term growth. (Fig. 4.1)

Strategic Growth in Down Apparel & OEM Management

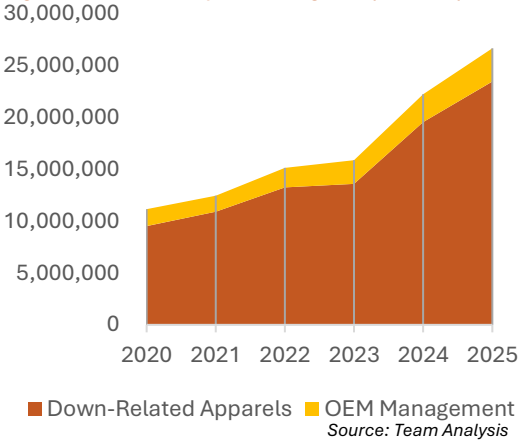
Bosideng's down-related apparel revenue grew from RMB 9.51 billion (2020) to RMB 19.52 billion (2024), with a projected RMB 23.42 billion (2025). This growth was driven by store upgrades, refined market segmentation, and premiumization, with 500+ retail outlets optimized and a three-tiered management system enhancing efficiency. The OEM management business remained stable, increasing from RMB 1.61 billion (2020) to RMB 2.67 billion (2024), with an expected RMB 3.20 billion (2025). Key factors included product diversification, high-quality customer acquisition, and global supply chain expansion, ensuring resilience despite geopolitical challenges. (Fig. 4.2)

Fig 4.1: Operating Margin & Working Capital Metrics (2020-2025)



Source: Team Analysis

Fig 4.2: Revenue Growth By Business Segments (2020-2025)



Source: Team Analysis

Valuation

We derived our 1-year implied share price target of HKD5.49, representing a 40.65% upside from closing price of HKD3.90. Using a 50/50 blended approach using dividend discount model approach and median FY+1 EV/EBIT multiple, derived from an analysis of comparable companies.

Weighted Average Cost of Capital (WACC)

We relied on the capital asset pricing model (CAPM) to derive cost of equity (COE). With substantial portion of revenues derived from China. Using risk-free rate of 1.60% based on China 10-year Government bond yield as of 08 February 2025. We utilized a regression analysis to derive beta of 0.93%, comparing Bosideng's 5Y weekly closing price to the Hang Seng Index. Both equity and country risk premiums were calculated through a blended-by-revenue approach utilizing premiums found in Damodaran's dataset. Final COE: 6.45%. Pre-tax cost of debt (COD) was determined by adding the credit spread cited from Damodaran based on Bosideng's BBB credit rating by Moody's and the risk-free rate as at valuation date. A blended-by-revenue corporate tax shield of 30.60% was applied. Final after-tax COD: 2.58%. Applying a market debt-to-equity ratio of 7.17%, we derived a WACC of 6.19%. (Fig. 4.3)

Fig 4.3: WACC Inputs

Risk-Free Rate	1.60%	China 10Y Government Bond Yield
Beta	0.93	Regression Analysis
Equity Risk Premium	5.24%	Blended by Region (Damodaran)
COE	6.45%	CAPM
Pre-tax COD	2.80%	Weighted Average COD
Country Risk Premium	0.91%	Blended by Region
Tax Rate	2.58%	
COD	30.60%	Blended Corporate Tax
Market D/E	7.17%	
WACC	6.19%	

Source: Company Filings, Damodaran, S&P Capital IQ

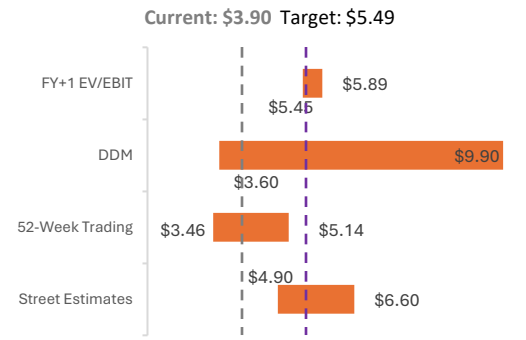
Dividend Growth Model & EV/EBIT Multiple

Accounting for Bosideng's consistent annual dividend payout, we performed a 10-year dividend discount model (DDM). Acquiring a weighted blended-by-revenue gross domestic product (GDP) for countries of business, our terminal growth rate used was 3.18%. Final DDM derived a 1-year share price of HKD$5.09 (+30.51%). Additionally, we performed a relative valuation using a median FY+1 EV/EBIT multiple to support our valuation, deriving a target price of HKD5.88 (+50.79%).

Sensitivity Analysis

Critical factors that will impact Bosideng's target price are WACC, COGS and Revenue. Our sensitivity analysis and football field reaffirms our target price, reflecting an upside on predicted share prices. (Fig. 4.4, 5.1, & 5.2)

Fig 4.4: Football Field Analysis



Source: Team Analysis

Using a 50/50 blended valuation approach with both methodologies, we derived a target price of HKD$5.49 (+44.03%). A blended approach increases the robustness of our target price as the DDM factors in future expected profitability and the EV/EBIT approach factors in market views on Bosideng relative to its peers.

Risk and Mitigation

Market Risk

US-China Tariffs | Probability: High | Impact: Moderate

Recent news suggests that while the 10% tariff on Chinese goods is already in effect, further escalations remain moderately probable given the administration's ongoing trade rhetoric and diplomatic maneuvers. Since 2021, U.S. tariffs on Chinese imports have remained constant at 19.3%, significantly higher than pre-trade war levels of 3.1%. The latest tariff increase signals a potential shift in trade policy that could further impact Chinese manufacturers, including Bosideng's supply chain and export competitiveness. (Fig. 5.3)

Mitigation: Bosideng's revenue is highly concentrated in China, with 94% of its revenue from China, and 3% in US & Europe each. We reaffirm that the growth story of Bosideng is unaffected, as its international focus is in Europe. Bosideng's cost structure is largely insulated from the recent US tariff news. Since the company manufactures its down jackets in China and sources key inputs—like high-quality down—domestically, it remains largely unaffected by US tariffs on Chinese imports.

ESG Risk

Ethical Concerns | *Probability: Moderate | Impact: Low*

A growing trend among global consumers is to prioritize ethical sourcing and sustainable production practices over traditional cost or performance considerations. This "ethical shift risk" could significantly impact Bosideng if buyers increasingly favor brands that transparently verify their supply chains and uphold stringent environmental, animal welfare, and fair labor standards. In such a scenario, Bosideng might face margin pressures and declining market share if it fails to effectively integrate and communicate its sustainability initiatives. As this trend gains momentum, Bosideng must accelerate its efforts to source ethically and embed these values into its brand narrative, ensuring that its products resonate with a more environmentally and socially conscious consumer base.

Mitigation: Bosideng has solidified its leadership in sustainable production by ensuring that, in 2023/24, all of its down apparel fully met Responsible Down Standard (RDS) criteria, 75% attained OEKO-TEX® certification for protection against harmful substances, and 58% achieved bluesign® certification for sustainable textile production (Fig. 5.4). These industry-leading certifications underscore Bosideng's commitment to ethical sourcing and responsible manufacturing, mitigating the risk of an "ethical shift" in consumer preferences toward more transparently sourced products. By consistently meeting and exceeding top textile standards through rigorous third-party audits, Bosideng not only differentiates its brand but also positions itself at the forefront of sustainability, providing a robust countermeasure to potential market risks driven by evolving consumer values.

Competitive Risk

Increasing Competition | Probability: Moderate | Impact: Moderate

Bosideng currently leads China's premium winterwear sector, cementing its position as the top brand despite intensifying competition. While domestic rivals like Peacebird and FILA are gradually capturing market share, and global players such as Canada Goose and Moncler aggressively target China's high-end consumers, fast-fashion names like Uniqlo offer competitive lightweight alternatives (Fig. 5.5). Although Bosideng is well-positioned at the pinnacle of this market, the continued premiumization efforts by competitors could erode its pricing power and brand equity, potentially resulting in a 3% revenue loss and a 4% downside risk to our valuation target, even as its overall growth prospects remain robust.

Fig 5.1: Sensitivity Analysis: WACC vs. Dividend Growth Rate

Dividend Growth \ WACC	5.19%	5.69%	6.19%	6.69%	7.19%
2.18%	5.21	6.20	6.20	5.21	3.97
2.68%	4.56	5.27	5.27	4.56	3.60
3.18%	4.56	5.27	**5.27**	4.56	3.60
3.68%	5.21	6.20	6.20	5.21	3.97
4.18%	7.50	9.90	9.90	7.50	5.09

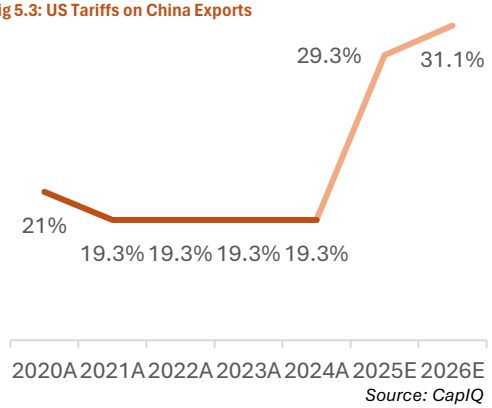
Source: Team Analysis

Fig 5.2: Sensitivity Analysis: WACC vs. EBIT Multiple

EBIT Multiple \ WACC	5.19%	5.69%	6.19%	6.69%	7.19%
3.95	5.59	5.66	5.66	5.59	5.45
4.45	5.65	5.72	5.72	5.65	5.51
4.95	5.70	5.77	**5.77**	5.70	5.56
5.45	5.76	5.83	5.83	5.76	5.62
5.95	5.82	5.89	5.89	5.82	5.67

Source: Team Analysis

Fig 5.3: US Tariffs on China Exports



Source: CapIQ

Fig 5.4: Bosideng Multiple Accolades for Sustainability

Fig 5.5: Key Competitors

Income Statement						
Revenue						
Down-Related Apparels	9,512,730	10,889,106	13,222,966	13,574,497	19,521,311	23,425,573
OEM Management	1,611,354	1,536,083	1,901,321	2,294,134	2,669,712	3,203,654
Ladieswear Apparels	982,661	946,627	903,679	702,953	819,800	860,790
Diversified Apparels	83,790	144,697	185,642	202,636	203,210	223,531
Total Revenue	**12,190,535**	**13,516,513**	**16,213,608**	**16,774,220**	**23,214,033**	27,713,549
Cost of Revenue	-5,481,889	-5,592,247	-6,476,429	-6,798,344	-9,380,493	-12,355,082
Gross Profit	**6,708,646**	**7,924,266**	**9,737,179**	**9,975,876**	**13,833,540**	**15,358,467**
Other Income	186,651	203,817	273,975	309,583	216,076	291,194
Selling and Distribution Expenses	-4,276,444	-4,807,361	-6,171,208	-6,124,697	-8,055,089	-10,842,437
Adminstrative Expenses	-852,960	-1,026,246	-1,203,133	-1,204,017	-1,507,860	-1,790,296
Impairment Losses on Goodwill	-98,000	-46,000	-40,000	-118,000	-70,000	-84,884
Other Expenses	-69,215	-23,870	-27,966	-12,373	-19,111	-21,629
Profit from Operations	**1,598,678**	**2,224,606**	**2,568,847**	**2,826,372**	**4,397,556**	**2,910,415**
Finance Income	192,790	213,455	315,998	293,214	374,212	446,745
Finance Costs	-191,555	-195,753	-198,608	-209,977	-216,363	-242,840
Net Finance Income	**1,235**	**17,702**	**117,390**	**83,237**	**157,849**	**203,905**
Share of Losses of Associates and Joint Ventures			-14,089	-22,296	-14,195	-
Profit before Taxation	**1,599,913**	**2,242,308**	**2,672,148**	**2,887,313**	**4,541,210**	**3,114,320**
Income Tax	-404,637	-537,342	-613,376	-730,930	-1,421,074	-1,027,725
Income Tax Rate	25.29%	23.96%	22.83%	25.12%	31.20%	33%
Profit for the Year	**1,195,276**	**1,704,966**	**2,058,772**	**2,156,383**	**3,120,136**	**2,086,594**
Attributable to:						
Equity Shareholders of the Company	1,203,184	1,709,566	2,062,323	2,138,574	3,074,072	2,040,530
Non-controlling Interests	-7,908	-4,600	-3,551	17,809	46,064	46,064
Profit for the Year	**1,195,276**	**1,704,966**	**2,058,772**	**2,156,383**	**3,120,136**	**2,086,594**

Balance Sheet						
Current Assets						
Inventories	2,725,914	2,645,940	2,688,186	2,689,283	3,197,497	3,800,676
Trade and Bills Receivables	1,196,743	875,915	1,236,748	922,985	1,497,900	1,795,930
Deposits, Prepayments and Other Receivables	970,827	1,168,152	1,281,234	1,355,434	1,287,676	1,674,031
Amounts Due from Related Parties	96,824	156,511	200,268	142,808	93,752	235,940
Other Financial Assets	3,272,759	5,952,169	6,521,270	4,069,019	3,963,011	4,069,019
Pledged Bank Deposits	414,391	207,253	182,148	528,115	653,095	779,683
Time Deposits	153,500	99,301	124,300	1,296,184	2,098,666	153,500
Cash and Cash Equivalents	3,638,680	1,771,330	2,502,563	3,718,211	6,227,015	6,069,922
Total Current Assets	**12,469,638**	**12,876,571**	**14,736,717**	**14,722,039**	**19,018,612**	**18,578,701**
Non-current Assets						
Property, Plant and Equipment	1,390,404	1,761,804	1,758,082	1,727,741	1,543,951	2,075,196
Right-of-Use Assets	782,686	850,558	1,121,890	978,126	958,155	958,155
Intangible Assets and Goodwill	1,654,290	1,572,040	1,496,159	1,342,278	1,236,397	1,496,159
Interest in Associates	-	-	41,864	66,071	52,558	52,558
Interest in Join Ventures	-	-	94,107	169,470	200,789	169,470
Investment Properties	271,203	265,479	266,280	262,514	264,702	265,479
Prepayments	99,152	22,343	13,332	5,498	-	17,838
Other Financial Assets	148,868	150,901	173,827	169,738	358,902	169,738
Derviative Financial Instruments	-	-	-	-	3,726	3,726
Deferred Tax Assets	562,512	566,540	611,458	649,092	497,703	566,540
Pledged Bank Deposits	-	450,000	770,000	500,117	18,336	384,971
Time Deposits	-	440,000	200,000	350,000	1,570,000	395,000
Long-Term Receivables	-	-	-	-	47,374	47,374
Total Non-Current Assets	**4,909,115**	**6,079,665**	**6,546,999**	**6,220,645**	**6,752,593**	**6,602,204**
Total Assets	**17,378,753**	**18,956,236**	**21,283,716**	**20,942,684**	**25,771,205**	**25,180,905**
Current Liabilities						
Current Income Tax Liabilities	364,803	519,664	620,299	669,005	497,071	519,664
Interest-Bearing Borrowings	817,841	670,923	933,950	770,406	768,436	770,406
Lease Liabilities	260,825	223,388	269,526	263,945	356,071	263,945
Trade and Other Payables	3,241,306	4,012,075	4,777,954	4,346,472	7,765,152	8,863,971
Amounts Due to Related Parties	4,831	6,679	8,373	4,074	86,815	14,756
Convertible Bonds	-	-	-	-	1,709,523	1,709,523
Derivative Financial Liabilities	533	9,344	-	-	-	-
Total Current Liabilities	**4,690,139**	**5,442,073**	**6,610,102**	**6,053,902**	**11,183,068**	**12,142,265**
Non-Current Liabilities						
Deferred Tax Liabilties	139,807	174,147	166,166	142,388	309,021	166,166
Lease Liabilities	475,287	415,311	627,590	525,859	384,423	475,287
Derviative Financial Instruments	-	-	-	-	3,655	3,655
Convertible Bonds	1,670,895	1,604,288	1,599,598	1,603,110	-	-
Other Non-Current Liabilities	-	69,687	53,820	13,056	71,553	61,754
Total Non-Current Liabilities	**2,285,989**	**2,263,433**	**2,447,174**	**2,284,413**	**768,652**	**706,862**
Total Liabilities	**6,976,128**	**7,705,506**	**9,057,276**	**8,338,315**	**11,951,720**	**12,849,127**
Shareholder's Equity						
Share Capital	806	811	817	818	819	817

Income Tax	404,637	537,342	613,376	730,930	1,421,074	1,027,725
Depreciation	558,413	772,865	856,904	913,548	1,181,198	95,409
Armortization	47,969	36,250	35,881	35,881	35,881	35,881
Impairment losses	98,000	46,000	40,000	118,000	70,000	70,000
Equity-Settled Share-Based Transactions	11,343	98,663	71,746	5,957	99,552	71,746
Change in Fair Value of Derivative Financial Liabilitie	-1,756	8,811	-9,344	-	-	-
Dividend Income from Other Financial Assets	-2,766	-	-2,443	-	-1,427	-
Net Loss on Disposal of PPE and Right-of-Assets	6,915	7,852	-12,444	19,301	28,962	7,852
Net Interest (Income)/Expenses	-1,750	-1,095	46,638	40,372	-9,672	-1,095
Unrealised/Realised Fair Value Change of Financial	-65,383	-66,304	-181,662	-140,451	-141,239	-140,451
Loss on Disposal of Debt Instruments Classified as F	57,471	-				-
Share of Losses of Associates and Joint Ventures	-	-	14,089	22,296	14,195	-
Operating Profit before Changes in Working Cap	**2,308,369**	**3,145,350**	**3,531,513**	**3,902,217**	**5,818,660**	**3,253,662**
Change in Working Capital:						
Increase in inventories	-794,784	76,095	-42,246	-1,097	-508,214	-603,179
(Increase)/Decrease in Trade and Bills Receivables	-318,265	90,391	-486,497	291,605	-503,605	-298,030
Decrease in Amounts Due from Related Parties	82,019	-59,687	-43,757	78,460	70,556	-142,188
Decrease/(Increase) in Pledged Bank Deposits for Bi	-44,730	-497,862	-342,536	-76,084	356,801	-126,588
Increase/(Decrease) in Trade and Other Payables	591,400	814,095	751,447	-262,764	3,429,131	1,098,819
Decrease in Amounts Due to Related Parties	1,193	1,848	1,694	-4,299	82,741	-72,059
Cash Generated from Operations	1,825,202	3,570,230	3,369,618	3,928,038	8,746,070	3,110,436
Interest Paid	-102,760	-89,493	-106,648	-139,237	-129,412	-106,648
Income Tax Paid	-497,436	-347,649	-592,905	-738,142	-1,277,876	-1,277,876
Net Cash Generated from Operating Activities	**1,225,006**	**3,133,088**	**2,670,065**	**3,050,659**	**7,338,782**	**1,725,912**
Investing Activities						
Payments in relation to acquisition of property, plant a	-	-559,609	-	-136,933	-	-
Payments in relation to equity investment	-6,976	-	-149,628	-111,920	-28,821	-
Payment in relation to acquisition of non-controlling i	-				-14,157	-
Acquisition of property, plant and equipment and leas	-713,628	-436,619	-576,657	-508,164	-559,973	-559,973
Acquisition of other financial assets	-11,820,878	-13,073,142	-8,789,446	-9,010,163	-6,480,450	-5,832,405
Proceeds from disposal of other financial assets	12,965,325	10,439,922	8,488,140	11,584,977	6,549,371	6,549,371
(Increase)/decrease in time deposits	69,402	-385,801	215,001	-1,321,884	-2,022,482	-385,801
Dividend income from other financial assets	2,766	-	2,443	-	1,427	-
Interest received	116,921	145,697	116,507	141,647	207,095	141,647
Proceeds from disposal of investment properties	7,000	7,000	7,800	-		-
Payments of a loan provided to an associate	-	-		-21,000	-42,500	-
Collection of a loan repaid by an associate	-	-	-		21,000	-
Advances to a joint venture	-	-	-		-3,000	-
Collection of advances to a joint venture	-	-	-		3,000	-
Payments of loans provided to third parties	-	-	-		-57,000	-
Net cash (used in)/generated from investing acti	**619,932**	**-3,862,552**	**-685,840**	**616,560**	**-2,426,490**	**-87,161**
Financing Activities						
Proceeds from interest-bearing borrowings	862,345	400,032	507,037	1,165,032	838,611	838,611
Repayment of interest-bearing borrowings	-1,724,445	-506,648	-194,846	-1,374,974	-838,611	-838,611
Decrease in bank deposits pledged for bank loans	125,812	92,997	47,641	-	-	-
Decrease in bank deposits pledged for issuing standl	183,863	162,003	-	-	-	-
Payments for purchase of shares in connection with t	-80,363	-135,450	-13,993	-	-149,787	-107,907
Proceeds from exercise of share options	100,310	42,423	118,274	27,238	29,382	42,423
Proceeds of upfront payment received from employe	-	77,430	32,640	-	102,219	-
Purchase of own shares	-262,313	-	-	-	-	-
Capital element of lease liabilities paid	-248,135	-355,174	-419,773	-400,389	-516,267	-400,389
Dividends paid	-862,968	-879,890	-1,309,457	-1,721,671	-1,845,102	-1,309,457
Payments from redemption of convertible bonds	-	-	-	-198,203	-	-
Proceeds from capital contribution to a subsidiary fro	-	10,000	-	10,000	-	-
Proceeds from issuance of convertible bonds	1,898,262	-	-	-	-	-
Net cash used in financing activities	**-7,632**	**-1,092,277**	**-1,232,477**	**-2,492,967**	**-2,379,555**	**-1,775,330**

Bosideng
For the Financial Year Ending 31 March
All figures are expressed in RMB'000

Valuation Date		8/2/2025
Share Price (HKD)	$	3.90

Company Capital Structure	HKD	Source:
Current share price	$3.90	S&P Capital IQ
Total no. of shares outstanding (000)	11,510,000	S&P Capital IQ
Market capitalization (000)	$44,889,000	
Add: Total debt (Market value in 000)	$3,220,000	S&P Capital IQ
Less: Total cash	($6,227,015)	
Add: Non-controlling interest	$46,064	
Enterprise value	**$41,928,049**	

Revenue breakdown by geography		
Country	**Revenue (RMB'000)**	**% of Total Revenue**
China	21,817,412	93.98%
North America	677,788	2.92%
Europe and other Regions	718,833	3.10%
Total	**23,214,033**	**100.00%**

Unblended				
Country	**Default Spread**	**Country Risk Prem**	**Equity Risk Premium**	**Corporate Tax Rate**
China	0.70%	0.94%	5.27%	31.20%
North America	0.00%	0.00%	4.33%	21.00%
Europe and other Regions	0.59%	0.96%	5.29%	21.50%

Weighted average cost of capital (WACC)

Capital Asset Pricing Model (CAPM)		Source:
Risk-free rate	1.60%	China 10Y Government Bor
Equity risk premium	5.24%	Blended by Region (Damod
Beta	0.93	Regression Analysis
Cost of equity	6.45%	

Blended				
Country	**Default Spread**	**Country Risk Prem**	**Equity Risk Premium**	**Corporate Tax Rate**
China	0.66%	0.88%	4.95%	29.32%
North America	0.00%	0.00%	0.13%	0.61%
Europe and other Regions	0.02%	0.03%	0.16%	0.67%
Total	**0.67%**	**0.91%**	**5.24%**	**30.60%**

Cost of Debt		
Pre-tax cost of debt	2.80%	Weighted Average Cost of Debt as at Jan 2025 (Damodaran, Bond rating BBB (Moody's))
Country risk premium	0.91%	Blended by Region (Damodaran)
Corporate tax rate	30.60%	Blended Corporate Tax Rate
After-tax cost of debt	2.58%	

2028 Forecasted GDP Growth Rate		% of Total Revenue
China	3.30%	93.98%
North America	2.00%	2.92%
Europe and other re	0.80%	3.10%

Capital Structure	
Market D/E	7.17%
Proportion of equity	93.31%

Bosideng
For the Financial Year Ending 31 March
All figures are expressed in RMB'000

	Historical					Forecasted				
	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
BOP	1/4/2019	1/4/2020	1/4/2021	1/4/2022	1/4/2023	1/4/2024	1/4/2025	1/4/2026	1/4/2027	1/4/2028
EOP	31/3/2020	31/3/2021	31/3/2022	31/3/2023	31/3/2024	31/3/2025	31/3/2026	31/3/2027	31/3/2028	31/3/2029
Days	366	365	365	365	366	365	365	365	366	365

Implied Share Price	
No. of Shares Outstanding (000)	11,510,000
WACC	6.19%
Valuation Date	8/2/2025

Free Cash Flow to Firm	2025E	2026E	2027E	2028E	2029E
EBIT	3,357,159	8,470,167	15,340,803	########	31,605,136
Add: Depreciation and amortization	95,409	143,899	201,853	271,149	362,331
Less: Capital expenditure	(626,654)	(1,103,177)	(1,318,475)	########	(2,074,443)
Less: Changes in net working capital	(143,225)	(166,876)	(721,482)	(517,086)	(585,672)
Less: Dividends	(1,571,331)	(1,819,749)	(1,881,096)	########	(2,092,421)
Free Cash Flow to Firm	**1,111,358**	**5,524,265**	**11,621,604**	**########**	**27,214,931**
Year Fraction	0.15	1.15	2.15	3.15	4.15
Year Fraction Including Mid-year Discounts	0.07	0.65	1.65	2.65	3.65
Present Value of FCFF	**1,106,453**	**5,313,534**	**10,526,341**	**########**	**21,858,648**

Dividends Per Share										
Dividends Paid Out	862,968	879,890	1,309,457	1,721,671	1,845,102	1,571,331	1,819,749	1,881,096	2,062,945	2,092,421
Dividend Growth Rate	0%	67%	35%	0%	48%	-32%	16%	3%	10%	1%
Year Fraction						0.15	1.15	2.15	3.15	4.15
Year Fraction Including Mid-year Discounts						0.07	0.65	1.65	2.65	3.65
Present Value of Dividends						1,564,396	1,750,332	1,703,814	1,759,549	1,680,603

Dividend Discount Model	
Sum of PV of Dividends	8,458,693.50
Average Dividend Growth Rate	3.18%
Dividend Paid Out in 2030	1,877,701
Terminal Value	62,406,940
PV of Terminal Value	50,124,372
PV of Equity Value	58,583,065
Implied Share Price	5.09

Exit Multiple	
EV/EBITDA	-19.0x
EV/EBIT	11.1x

Valuation Date		8/2/2025
Stock Price at Valuation Date	$	3.90
Upside/(Downside)		30.51%

Sensitivity Analysis

Dividend Growth \ WACC	5.19%	5.69%	6.19%	6.69%	7.19%
2.18%	5.21	6.20	6.20	5.21	3.97
2.68%	4.56	5.27	5.27	4.56	3.60
3.18%	4.56	5.27	**5.27**	4.56	3.60
3.68%	5.21	6.20	6.20	5.21	3.97
4.18%	7.50	9.90	9.90	7.50	5.09

EBIT Multiple \ WACC	5.19%	5.69%	6.19%	6.69%	7.19%
3.95	5.59	5.66	5.66	5.59	5.45
4.45	5.65	5.72	5.72	5.65	5.51
4.95	5.70	5.77	**5.77**	5.70	5.56
5.45	5.76	5.83	5.83	5.76	5.62
5.95	5.82	5.89	5.89	5.82	5.67

EBIT Exit Multiple Method	
SUM of PV FCFF	54,936,371
EV/EBIT Multiple (FY + 1)	7.85
Terminal Value	12,328,773
PV of Terminal Value	$9,902,296.00
Enterprise Value	**64,838,667.35**
Less: Debt	3,220,000
Add: Cash	6,069,922
Equity Value	**67,688,589.24**
Total shares outstanding	11,510,000
Implied share price	5.88

DDM EBIT Ratio Blended		
Method	Weightage	Implied share price
DDM	50%	5.09
Exit Multiple	50%	5.88
Blended Implied Share pri		**5.49**

Valuation Date	8/2/2025

Down-Related Apparels		14%	21%	3%	44%	20%
OEM Management		-5%	24%	21%	16%	20%
Ladieswear Apparels		-4%	-5%	-22%	17%	5%
Diversified Apparels		73%	28%	9%	0%	10%
Total Revenue		11%	20%	3%	38%	19%
Selected per share data						
Dividend Yield - Common Stock - Gross - Issue Specific - %	4.82	2.82	4.04	4.10	4.70	6.72
Dividend Yield - Common Stock - Net - Issue Specific - %	4.82	2.82	4.04	4.10	4.70	6.72
EPS - Diluted - excluding Extraordinary Items Applicable to Common - Total	0.11	0.15	0.19	0.19	0.27	0.33
Shares used to calculate Diluted EPS - Total	10,881,104.00	11,288,116.00	11,343,805.00	11,435,784.00	11,425,719.00	11,426,000.00
Profitability / Return						
Gross Profit Margin - %	55.03	58.63	60.06	59.47	59.59	59.34
EBITDA Margin - %	16.69	20.45	19.06	20.64	22.40	21.61
Operating Margin (EBIT) - %	13.90	16.80	16.09	17.55	19.25	18.64
Income before Tax Margin - %	13.12	16.59	16.57	17.35	19.62	19.02
Income Tax Rate - %	25.29	23.96	22.83	25.12	31.20	28.63
Net Margin - %	9.80	12.61	12.70	12.86	13.44	13.68
Return on Average Common Equity - % (Income available to Common excluding Extraordinary Items)	11.96	16.07	17.73	17.29	23.39	24.83
Return on Average Total Assets - % (Income before Discontinued Operations & Extraordinary Items)	7.36	9.38	10.23	10.21	13.36	13.71
Financial Strength / Leverage						
Total Debt Percentage of Total Assets	18.56	15.37	16.12	15.10	12.49	12.78
Total Debt Percentage of Total Capital	23.66	20.57	21.91	20.06	18.89	20.37
Total Debt Percentage of Total Equity	31.00	25.90	28.06	25.10	23.29	25.58
Interest Coverage Ratio	14.20	15.55	15.42	15.82	23.10	11.98
Dupont / Earning power						
Asset Turnover	0.75	0.74	0.81	0.79	0.99	1.10
Income before Tax Margin - %	13.12	16.59	16.57	17.35	19.62	11.24
Pretax ROA - %	9.86	12.34	13.35	13.78	19.50	8.19
Total Assets to Total Shareholders Equity - including Minority Interest & Hybrid Debt	1.58	1.68	1.71	1.70	1.77	1.71
Pretax ROE - %	15.60	20.71	22.88	23.44	34.48	14.18
Tax Complement	0.75	0.76	0.77	0.75	0.69	0.67
Return on Average Common Equity - % (Income available to Common excluding Extraordinary Items)	11.96	16.07	17.73	17.29	23.39	5.45
Earnings Retention Rate	0.27	0.29	0.20	0.17	0.19	0.37
Liquidity						
Current Ratio	2.66	2.37	2.23	2.43	1.70	1.53
Quick Ratio	2.08	1.88	1.82	1.99	1.41	1.22
Working Capital to Total Assets	0.45	0.39	0.38	0.41	0.30	0.26
Operating						
Accounts Receivable Turnover	8.62	9.95	10.79	11.05	14.52	16.83

Appendix E Comparable Companies (Condensed) 10

Ticker	Company Name	Day Close Price (CN¥)	Multiples: EV/Revenue LTM	EV/Revenue FY+1	EV/Revenue FY+2	EV/EBITDA LTM	EV/EBITDA FY+1	EV/EBITDA FY+2	EV/EBIT LTM	EV/EBIT FY+1	EV/EBIT FY+2	P/E LTM	P/E FY+1	P/E FY+2
Target Company														
SEHK:3998	Bosideng International Holdings Limited (SEHK:3998)	3.65	1.50	1.5x	1.3x	6.26	6.7x	5.9x	7.73	7.8x	6.8x	12.02	11.6x	10.0x
Comparable Companies														
SEHK:2331	Li Ning Company Limited	15.21	1.02	1.0x	2.8x	5.00	5.3x	4.9x	7.45	8.1x	7.4x	12.89	12.6x	29.6x
SEHK:2020	ANTA Sports Products Limited	80.46	3.32	1.2x	1.2x	10.38	10.6x	9.6x	13.66	13.3x	11.9x	17.49	17.7x	6.5x
SEHK:1361	361 Degrees International Limited	3.84	0.39	1.2x	1.3x	2.52	2.3x	2.0x	2.65	2.4x	2.1x	7.53	7.2x	9.3x
SZSE:002563	Zhejiang Semir Garment Co., Ltd.	6.19	0.79	3.5x	3.6x	6.47	6.1x	5.6x	8.32	7.2x	6.3x	15.87	15.5x	7.4x
SEHK:2313	Shenzhou International Group Holdings Limited	55.94	2.84	0.2x	0.2x	11.37	9.5x	8.4x	14.53	11.9x	10.3x	15.60	14.4x	9.2x
SHSE:603877	Ningbo Peacebird Fashion Co.,Ltd.	14.58	0.97	0.2x	0.2x	13.63	6.8x	7.4x	17.84	10.8x	10.5x	26.51	12.5x	9.2x
SEHK:3306	JNBY Design Limited	16.04	1.38	0.2x	0.2x	4.47	5.0x	4.7x	6.02	5.8x	5.4x	9.73	9.1x	9.2x
SZSE:002832	BIEM.L.FDLKK Garment Co.,Ltd.	18.87	2.28	12.7x	12.8x	6.82	6.0x	5.3x	9.17	7.6x	6.6x	11.72	11.7x	-5.3x
KOSE:A081660	FILA Holdings Corporation	191.35	0.81	12.7x	12.8x	5.98	6.3x	5.2x	8.07	8.1x	6.6x	22.15	13.4x	
SZSE:002867	Chow Tai Seng Jewellery Co., Ltd.	12.27	0.84	12.7x	12.8x	7.82	8.0x	7.0x	8.29	8.6x	7.4x	12.38	12.1x	
Low			0.4x	0.2x	0.2x	2.5x	2.3x	2.0x	2.6x	2.4x	2.1x	7.5x	7.2x	-5.3x
25th Percentile			0.8x	0.4x	0.5x	5.2x	5.3x	4.8x	7.6x	6.8x	6.0x	11.9x	11.0x	7.2x
Mean			1.5x	4.6x	4.8x	7.4x	6.5x	6.0x	9.6x	8.4x	7.6x	15.2x	12.6x	9.4x
Median			1.0x	1.2x	2.1x	6.6x	6.1x	5.4x	8.3x	7.8x	7.0x	14.2x	12.6x	9.2x
75th Percentile			2.1x	10.4x	10.5x	9.7x	7.5x	7.7x	12.5x	11.1x	10.4x	17.1x	12.5x	9.2x
90th Percentile			2.9x	12.7x	12.8x	11.6x	9.9x	8.7x	14.9x	12.3x	10.9x	22.6x	12.6x	15.4x
High			3.3x	12.7x	12.8x	13.6x	10.6x	9.6x	17.8x	13.3x	11.9x	26.5x	12.6x	29.6x

Ticker	Beta: 3Y Beta	1Y Beta	Avg Beta	Book Debt/ Total Debt (CN¥000)	Market Capitalization (CN¥000)	Market D/E	5Yr Avg Tax Rate	3Y Unlevered Beta	Financial Ratios (Peers Comparison): Gross %	EBITDA %	EBIT %	Net Income %	Total Asset Turnover (x)	ROA %	ROE %	Quick Ratio (x)	Current Ratio (x)	Book D/E
Target Company	1.11	0.82	0.96	3,414,542	41,886,337.85	0.08	25.7634	-1.089984	59.04	22.06	19.47	13.38	0.97	11.83	26.26	0.92	1.51	25.58
SEHK:2331	1.81	1.86	1.84	2,170,238	39,166,509.64	0.06	24.87	-5.61858	49.24	16.41	12.27	10.81	0.80	6.14	11.77	1.99	2.36	8.38
SEHK:2020	1.51	1.45	1.48	21,749,000	225,856,857.04	0.10	28.24	-0.93184	63.05	26.17	24.63	19.88	0.74	11.31	25.17	1.23	1.59	35.29
SEHK:1361	0.85	1.24	1.04	330,544	7,930,983.58	0.04	25.82	-24.81393	40.97	15.6	14.9	11.32	0.70	6.55	11.32	2.85	3.59	3.38
SZSE:002563	0.59	0.85	0.72	437,334	16,676,418.09	0.03	25.73	1.68744	41.94	10.49	9.44	7.38	0.80	4.70	9.20	1.19	2.03	3.82
SEHK:2313	1.43	1.17	1.30	10,965,300	84,097,651.72	0.13	10.09	-7.70874	27.29	24.55	19.51	20.32	0.55	6.75	16.18	1.99	2.54	32.13
SHSE:603877	0.74	0.91	0.82	1,555,654	6,908,372.87	0.23	27.89	-0.14555	100	7.15	5.46	3.76	NA	NA	5.78	NA	NA	35.60
SEHK:3306	0.86	0.69	0.78	600,748	8,159,626.60	0.07	28.15	-0.86422	66.25	25.21	22.92	16.21	1.24	17.79	40.45	0.97	1.49	27.16
SZSE:002832	0.58	0.83	0.70	398,949	10,769,242.68	0.04	14.49	1.16453	76.73	27.33	24.87	24.46	0.58	9.03	18.62	2.18	2.98	7.84
KOSE:A081660	0.76	0.52	0.64	7,229,191	11,153,124.03	0.65	41.40	-0.03001	19.82	10.34	10.15	7.37	0.81	4.29	7.96	1.30	2.12	49.37
SZSE:002867	0.77	0.64	0.70	522,708	13,318,764.67	0.04	23.28	6.09193	52.29	12.05	8.53	2.48	1.79	11.35	17.35	0.99	3.33	8.42
Low	0.58	0.52	0.64	330544.00	6908372.87	0.03	10.09	-24.81	19.82	7.15	5.46	2.48	0.55 X	4.29	5.78	0.97 X	1.49 x	3.38
25th Percentile	0.74	0.73	0.71	458677.86	$8,812,031	0.04	23.68	-4.45	41.21	10.88	9.62	7.37	0.70 x	6.14	9.73	1.19 x	2.03 x	7.98
Mean	0.99	1.02	1.00	4,595,967	$42,403,755	0.14	25.00	-3.12	53.76	17.53	15.27	12.40	0.89 x	8.66	16.38	1.63 x	2.45 x	21.14
Median	0.81	0.88	0.80	1078201.19	12235944.35	0.06	25.77	-0.50	50.77	16.01	13.59	11.07	0.80 x	6.75	13.98	1.30 x	2.36 x	17.79
75th Percentile	1.28	1.22	1.23	5964452.61	$33,543,987	0.12	28.08	0.87	65.45	25.05	22.07	18.96	0.81 x	11.31	18.30	1.99 x	2.98 x	34.50
90th Percentile	1.54	1.49	1.52	12043670.00	$98,273,572	0.27	29.56	2.13	79.06	26.29	24.65	20.73	1.35 x	12.64	26.70	2.32 x	3.39 x	36.98
High	1.81	1.86	1.84	21749000.00	$225,856,857	0.65	41.40	6.09	100.00	27.33	24.87	24.46	1.79 x	17.79	40.45	2.85 x	3.59 x	49.37

Appendix F Relative Valuation 10

FY+1 EV/Revenue	Low	25th Percentile	Mean	Median	75th Percentile	High
Multiples	0.2x	0.4x	4.6x	1.2x	10.4x	12.7
Implied EV	5,542,710	11,194,897	########	#######	288,220,905	########
Add: Cash and cash equivalents	6,069,922	6,069,922	6,069,922	6,069,922	6,069,922	6,069,922
Less: Total debt	(3,220,000)	(3,220,000)	(3,220,000)	#######	(3,220,000)	(3,220,000)
Less: Non-controlling interest	(46,064)	(46,064)	(46,064)	(46,064)	(46,064)	(46,064)
Implied Equity Value	**8,346,568**	**13,998,755**	#########	########	**291,024,763**	#########
Shares Outstanding	11,510,000	11,510,000	11,510,000	#######	11,510,000	11,510,000
Implied Equity Value per Share	***$0.73***	***$1.22***	***$11.23***	***$3.13***	***$25.28***	***$30.82***

FY+1 EV/EBITDA	Low	25th Percentile	Mean	Median	75th Percentile	High
Multiples	2.3x	5.3x	6.5x	6.1x	7.5x	10.6
Implied EV	8,026,604	18,181,829	22,335,131	#######	25,808,705	36,565,622
Add: Cash and cash equivalents	6,069,922	6,069,922	6,069,922	6,069,922	6,069,922	6,069,922
Less: Total debt	(3,220,000)	(3,220,000)	(3,220,000)	#######	(3,220,000)	(3,220,000)
Less: Non-controlling interest	(46,064)	(46,064)	(46,064)	(46,064)	(46,064)	(46,064)
Implied Equity Value	**10,830,462**	**20,985,687**	**25,138,989**	########	**28,612,563**	**39,369,479**
Shares Outstanding	11,510,000	11,510,000	11,510,000	#######	11,510,000	11,510,000
Implied Equity Value per Share	***$0.94***	***$1.82***	***$2.18***	***$2.06***	***$2.49***	***$3.42***

FY+1 EV/EBIT	Low	25th Percentile	Mean	Median	75th Percentile	High
Multiples	2.4x	6.8x	8.4x	7.8x	11.1x	13.3x
Implied EV	8,094,685	22,911,997	28,144,458	#######	37,136,195	44,594,145
Add: Cash and cash equivalents	6,069,922	6,069,922	6,069,922	6,069,922	6,069,922	6,069,922
Less: Total debt	(3,220,000)	(3,220,000)	(3,220,000)	#######	(3,220,000)	(3,220,000)
Less: Non-controlling interest	(46,064)	(46,064)	(46,064)	(46,064)	(46,064)	(46,064)
Implied Equity Value	**10,898,543**	**25,715,855**	**30,948,316**	########	**39,940,053**	**47,398,003**
Shares Outstanding	11,510,000	11,510,000	11,510,000	#######	11,510,000	11,510,000
Implied Equity Value per Share	***$0.95***	***$2.23***	***$2.69***	***$2.53***	***$3.47***	***$4.12***